TCS India FAQs – Compensation Restructuring

VERSION 2.0

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Document Release Notice

This FAQ on Compensation Restructuring Version 2.0, is released for use in TATA Consultancy Services (TCS) with effect from 10 June 2026.

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The latest version of this document is available on the HR Policy Hub.

This document was last updated / reviewed on 10 June 2026.

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1. What are Labour Codes? When were they notified?

On 21st November 2025, 29 central laws were consolidated into 4 Labour codes to simplify, modernise and standardise labour regulations across the country.

The Labour Codes include:

1. The Code on Wages, 2019
2. The Industrial Relations Code, 2020
3. The Code on Social Security, 2020
4. The Occupational Safety, Health and Working Conditions Code, 2020

These codes standardise how 'wages' are defined for statutory benefits like Gratuity, benefits under Employees State Insurance (ESIC), Minimum Wages and Statutory Bonus.

2. What is Wage?

Wage means all remuneration whether by way of salary, allowances or otherwise, expressed in terms of money which would be payable in respect of employment. The Code on wages clearly defines 'Exclusion' components (i.e. the components which are explicitly excluded from the definition of Wages). To understand this in TCS context refer below -

a) **Inclusion**
In the TCS context, the components such as Basic Pay, City allowance and Personal allowance (if applicable) are being considered under Inclusion as these components do not come under the purview of exclusion set out in the definition of Wages under the Codes.

b) **Exclusions**
Pay elements such as House Rent Allowance (HRA), Conveyance allowance, contribution to Provident Fund (PF), contribution to Superannuation/NPS, and Statutory Bonus are classified as exclusions under the Code on Wages, 2019.

Inclusion and exclusion collectively constitute the total remuneration package.

Out of Remuneration
Pay elements like Performance linked Variable Compensation, Health Insurance premium borne by the Company, contribution to ESIC, and other performance linked incentives are not considered part of Wages.

Wages will be the higher of (a) inclusions or (b) 50% of the total remuneration. Any reference to Wages in this document shall have the same meaning as defined herein.

Statutory Benefits Calculation
Benefits including Gratuity, ESIC, and Statutory Bonus will be calculated on the new definition of wages.

3. Why did my compensation get restructured?

In line with new definition of wages, TCS has ensured consistency and standardization in wages across grades and levels. It has been ensured that the employee's salary and take-home compensation is protected and a flexibility is offered to employees in designing their pay packages for optimal financial benefits.

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4. When will the revised compensation structure be effective?

The revised compensation structure is effective from 1st April 2026.

5. When will I be able to see an increase in the gratuity value on my payslip? Can you please explain the change?

You might observe an enhanced gratuity value displayed in your June payslip. Under the Code on Social Security, 2020, gratuity is calculated on "wages" (as set out above). This change increases the gratuity value subject to the statutory ceiling limit. Employee will be entitled for gratuity either under TCS Gratuity Scheme or under the Code on Social Security, 2020 whichever is more beneficial. The Gratuity multiplier/experience factor of .50, 0.75 or 1 will be fixed based on employee's tenure as on 1st July 2026. Also, few associates may not see a change in Gratuity value if TCS Gratuity Scheme is more beneficial to them as on 1st July 2026.

Example: *An associate who has completed 18 years of continuous service with TCS as on 1July 2026 is assigned a gratuity multiplier/experience factor of 0.75, in accordance with the tenure-based framework prescribed under TCS India Policy - Gratuity.*
If such associate retires or otherwise separates from the Company on 1 April 2030, gratuity shall be computed based on the completed years of service at the time of separation, i.e., 22 years, and calculated on the more beneficial of the following two methods:

- *Option A:*
  0.75 × Basic Pay × 22
  (No monetary cap applicable)

- *Option B:*
  15/26 × Wages × 22
  (Subject to an overall maximum cap as per The Code on Social Security, 2020)

The higher of Option A or Option B shall be payable as gratuity to the associate.

Note: *For the purpose of calculating gratuity and for fixing the gratuity multiplier /experience factor, any continuous service in excess of six months, over and above five years, shall be treated as one year.*

6. Why is Gratuity no longer a part of my CTC?

Gratuity gets paid out at the time of leaving the organisation, subject to eligibility criteria. Employees become eligible for gratuity after rendering a continuous service of 5 years (i.e. upon completion of a service of 4 years and 190 days) in TCS. Direct Contractors (Fixed Term Employees) become eligible for Gratuity on completion of 1 year of service. Previously, the indicative yearly gratuity cost factor was included as part of the CTC break-up, while actual accrued gratuity amount was reflected in the detailed payslip based on individual eligibility. Following the compensation restructuring, the yearly gratuity cost factor is excluded from the CTC break-up. Eligible employees will continue to see the value of their gratuity details on their detailed payslip for the respective month.

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7. How is Provident Fund (PF) calculated now?

Contributions towards Provident Fund and Pension will be made in accordance with the provisions of the Code on Social Security, 2020, the TCS Employees' Provident Fund Trust Rules, and such schemes and/or rules currently prevailing or as may be notified in future.

The employer's contribution towards the Provident Fund is calculated as follows:

- If your Basic Salary is equal to or greater than INR 15,000 per month, the statutory contribution shall be twelve per cent (12%) of the employee's Basic Salary.
- If your Basic Salary is less than INR 15,000 per month, the Provident Fund contribution will be based on 12% of the applicable wages or the statutory ceiling, depending on what is applicable in your case.

8. Why am I seeing Statutory Bonus as a new component in my CTC?

Eligible associates were paid statutory bonus on an annual basis. Going forward, all eligible associates will view this component as a part of their compensation letters and will be paid on a monthly/pro rata basis, as applicable. For such employees, variable compensation may not appear in their CTC because the given components were in nature of / in-lieu of statutory bonus.

9. Will my overall CTC reduce post restructuring?

No. Your overall CTC excluding yearly gratuity cost factor is fully protected. One of the foundational objectives of this exercise is that there is no reduction in overall CTC excluding yearly gratuity cost factor. Please read this in conjunction with Question No. 5 & 6.

10. Will my monthly take-home salary reduce?

No. Your take-home pay will not be reduced. The model is designed to ensure that employees do not experience any negative impact on their take-home salary.

11. Where is my Bouquet of Benefits (BoB)?

The BoB has been restructured and consolidated into House Rent Allowance/and or Conveyance Allowance giving you continued benefits to redesign.

12. How has my Bouquet of Benefits (BoB) been consolidated into 'House Rent Allowance/and or Conveyance Allowance'?

Some of the components from Bouquet of Benefits (BoB) has been consolidated into 'House Rent Allowance/and or Conveyance Allowance'. The list summarises the changes:

BoB components redefined/reintroduced:

- House Rent Allowance (HRA)
- Conveyance Allowance (newly introduced)
- Meal Card (optional benefit)
- Communication Card (optional benefit)
- National Pension Scheme (NPS) (optional benefit)
- Superannuation (Available for C3B and above equivalent grades) (optional benefit)

BoB components that cease to exist:

- Leave Travel Allowance (LTA)
- Vehicle Maintenance
- Car Allowance
- Fuel Allowance
- Personal Allowance

13. Are the tax benefits same as earlier BoB linked Pay elements?

Pay elements with no tax benefits have been discontinued . However, for some of the components tax benefits are either enhanced or remain unchanged as listed below:

- **Meal Card** – Tax exemption enhanced upto INR 12000 per month under both new and old tax regimes subject to valid meal card details being made available in GESS.
- **Communication Card** - Tax exemption upto INR 2000 per month under both new and old tax regimes subject to valid communication card details being made available in GESS.
- **National Pension Scheme (NPS)** - Tax exemption upto 14% of basic salary in New Tax Regime and upto 10% of basic salary for Old Tax Regime subject to valid NPS account details in GESS.
- **Superannuation** - Tax exemption upto defined limit.
- **Conveyance Allowance – Tax Exempt** – Tax exemption for persons with disability as per applicable limits.

14. Why is my LTA (Leave Travel Allowance) component discontinued?

LTA is discontinued as a standalone component to simplify the salary structure, while maintaining your overall salary.

15. How does discontinuation of LTA affect my tax benefits?

Currently there is no tax benefit offered for LTA in the New Tax Regime.
Since LTA does not exist as an individual component, the specific income-tax exemption linked to LTA travel claims will not apply in the same manner as earlier.

16. I currently have a Food Card. Is this same as Meal Card? Will my benefit be automatically credited to the card?

Food Card is same as Meal Card. To keep availing this benefit, please re-enter your meal card details and configure the Meal Card amount upto a ceiling of INR 12,000 in GESS.

17. I am unable to define my benefits in line with changed structure/benefits in Global ESS?

It will be made available in June 2026.

18. I am unable to view Conveyance allowance and only see House Rent Allowance component.

As per statutory requirements, HRA (House Rent Allowance) needs to be maintained at a minimum of 5% of basic. In scenario where your 'HRA and/or Conveyance Allowance' is not more than 5% of your Basic salary, Conveyance allowance will not be available.

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19. What are the components of Variable Compensation under my revised compensation structure?

Variable Compensation includes Performance Pay (paid monthly) and a Performance Bonus (paid quarterly/annually), as per grade eligibility.

20. Will Deployment Index (DI) and Work from Office (WFO) Index impact my Variable compensation (Performance Pay and Performance Bonus)?

Your Performance Bonus will be linked to Individual, Unit and Company performance. However, henceforth, your WFO Index and Deployment Index will have an impact on your Performance Pay.

For details, refer to the following on the HR Policy Hub

- TCS India Policy - Variable Compensation
- TCS India Process Note - Deployment Index (DI)
- TCS India Guideline - WFO Non-Compliance
- TCS India FAQ - Deployment Index
- TCS India FAQs - Work from Office Non Compliance

The impact of WFO and Deployment Index on Performance Pay would be as below:

WFO Index & DI	Performance Pay
>=85%	100%
>=75 & < 85%	90%
>=50 & < 75%	75%
>=25 & < 50%	50%
<25%	0%

Please note that the impact of DI on Performance Pay shall be applied sequentially on the average Performance Pay of the previous quarter, post application of impact of WFO compliance, if any.

For Example, *Your Performance Pay for April, May and June are INR 1000 respectively. Therefore, your average performance pay would be INR 1000 at the end of Q1. Your WFO index for Q1 is 77% and your DI for Q1 is at 78%, Basis impact of WFO non-compliance, the performance pay would be at 90% payout i.e. INR 900. Subsequently, on application of DI impact, the final payout would be 90% of INR 900 i.e. INR 810 in July's Performance Pay.*

21. My compensation is revised effective 1st June 2026. Will the impact on WFO and Deployment Index for the previous quarter be made on the revised performance pay?

The impact of WFO Index and DI on Performance Pay shall be applied on the average Performance Pay of the previous quarter. In continuation to the previous example, (Question 20), if your Performance Pay changes to INR 1200 in June, the average performance pay on which the impact would be calculated would be (1000+1000+1200)/3 = INR 1067.

22. Whom should I reach out to when I want more details on my revised compensation structure?

You may please refer to your revised compensation letter under My Documents and/or connect with your HRBP for additional clarity. You may also raise a ticket in Ultimatix Global Helpdesk.

For any assistance with your restructured compensation letter, you may log a ticket under: ***TCS Global Helpdesk > HR Services > Salary restructuring Queries***

Revision List

Revision No.	Policy Effective date	Document Release /Revision Date	Revision Description	Section No.	Rationale for change	Change type	Policy revision/ Document revision
2.0	10 June 2026	10 June 2026	Added Individual performance as a parameter that impacts Performance Bonus	Question No. 20	For better clarity and in line with the TCS India Policy – Variable Compensation	Modify	Policy Revision
1.0	01 April 2026	17 May 2026	New Release	NA	NA	NA	NA